

Developer Compensation - Executive Summary

Direct Cuts Platform Development

Document Type: Executive Summary for Board/Investor Review **Date:** January 2026 **Classification:** Confidential

Key Figures at a Glance

Metric	Value
Total Compensation	\$6,000
Billed Hours	80 hours
Billed Rate	\$75/hour
Market Rate (Median)	\$175/hour
Discount to Market	50-75%
Estimated Savings	\$19,000-34,000

What Was Delivered

A production-ready platform currently processing live transactions:

- **45,000+ lines** of TypeScript/React code
 - **150+ components** in reusable UI library
 - **60 database migrations** with full schema
 - **Stripe Connect** payment integration
 - **Real-time booking** system with live updates
 - **Push notification** infrastructure
 - **Mobile-responsive** design (iOS/Android ready)
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Value Proposition

Cost Efficiency

Alternative	Estimated Cost	Savings vs. Actual
US Agency	\$40,000-65,000	85-91%
Senior Contractor	\$25,000-40,000	76-85%
Offshore Team	\$20,000-30,000	70-80%
Actual Cost	\$6,000	-

Quality Indicators

- Production system processing real revenue
- Professional-grade TypeScript codebase

- Comprehensive test coverage
- Security audit completed
- Full documentation provided

IP Terms

- Clean transfer to company (work-for-hire)
 - No ongoing royalties or obligations
 - No attribution requirements
 - Full commercial rights
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Actual Effort Analysis

The 80 billed hours represent conservative billing. Based on deliverable scope:

Estimate	Hours	Effective Rate
Billed	80	\$75/hour
Conservative actual	150	\$40/hour
Likely actual	200+	\$30/hour

Risk Assessment

Category	Risk Level
Financial	Low
Technical	Low
Legal/IP	Low
Overall	Low

Recommendation

APPROVE - The \$6,000 compensation represents exceptional value:

1. 50-75% below market rates
2. Production platform generating revenue
3. Clean IP transfer with no ongoing obligations
4. Low risk profile

The arrangement delivers institutional-quality development at a fraction of market cost, positioning the company favorably for continued development and future fundraising.

Action Requested: Board approval of compensation arrangement

Full Documentation: See DEVELOPER_COMPENSATION_MEMO.md for complete 10-page memorandum